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Perspectives of Social Inequality

The background of the Second Industrial Revolution brought about great technologies such as “precision of steel parts, the harnessing of electricity, innovations of machine tools, and the mass markets wrought by the railroads” (Capital and Labor), which led to unprecedented wealth growth. Industrial capitalism changed average American lives from having a simple life as farmers to being in cities as factory workers: “Massive new companies marshaled capital on an unprecedented scale. But it also created millions of low-paid, unskilled, unreliable jobs with long hours and dangerous working conditions” (Capital and Labor). This new age brought social problems unseen in its time, and values and policies that had been prominent before had to be redefined. This essay will discuss the perspectives of Americans in the new world of social inequality from the time between the second industrial revolution to the end of the Roaring Twenties.

To start off, in order to understand how Americans thought about social inequality, it is important to study two popular ideas of the time, social Darwinism and Henry George's land tax. The idea of social Darwinism originated from the idea that physical strength is what allows the strongest to survive in their environment, but has been extended to the modern world in which the wealthy excel: “competition of man from violence and brute force into an industrial competition under the acquisition of material goods by industry” (Social Darwinism). Social Darwinism contributed significantly to social inequality, as it reduced empathy toward the poor

by saying they were weak, and interventions went against natural social evolution. Secondly, it was directly against governments regulating the economy, as they believed that the system is perfect and should be unregulated. On the other hand, Henry George's land tax originates from "when the equal right to land is denied, becomes, as population increases and invention goes on, merely the liberty to compete for employment at starvation wages" (Progress and Poverty).

George identifies the very reason for the inequality: wealth depends on how much land a person owns, and the current system is unfair in land ownership. His solution to regulate equal land opportunity would resolve the wealth inequality. Both ideas advocate for opposite solutions, which stems from a single fundamental principle in that the social system needs to be regulated.

Social inequality has a single fundamental principle; however, it has many more logical reasons and solutions that stem from it other than social Darwinism and the land tax. Another two contrary ideas came from President Herbert Hoover's individualism and Theodore Roosevelt's new nationalism. Starting, Hoover's individualism believed in the power of corporations and that the wellbeing of everyone has exponentially increased in the past years, "Today there are almost 9 automobiles for each 10 families, where 7 ½ years ago average less than 4 for each 10 families.", not to mention the recovery from big debt and war, "we came out of the war with great losses. … recovered from these losses" (Herbert Hoover). The idea is that the US is an economic powerhouse and it runs best when free of regulation/government intervention that will slow it down. Essentially, the benefits that are gained from unregulated business are far more than will ever be gained from regulation ever could. Furthermore, Hoover spouts bureaucracy, saying it is evil, slow, and costly: "Bureaucracy is ever desirous of spreading its influence and its power" (Herbert Hoover). The difference between Hoover's individualism and social Darwinism is that Hoover believed in limited governmental intervention to enable a fair environment, and

progress has to come from individual initiative. While Darwinism believes in zero intervention, as regulation would protect the unfit and is heartless for the impoverished. They both opposed government intervention but for completely different reasons. Next, Theodore Roosevelt's new nationalism values more than just a fair environment, and change to opportunity and reward for work: "fair play under the present rules, … stand a more substantial equality of opportunity and of reward for equally good service" (New Nationalism). His goal is to protect human welfare over corporate rights by providing a large federal government that regulates the economy, "our government must be freed from the control of special interests. … must control the mighty commercial forces which they have themselves called into being" (New Nationalism). Roosevelt goes above and beyond to specifically regulate the rich, implementing a tax of fortunes and banning corporate special interests: "prohibit the use of corporate funds directly or indirectly for political purposes … graduated income tax on big fortunes" (New Nationalism). Land tax and new nationalism are similar through the prioritization of welfare through governmental means. The two systems differ, however, in terms of ownership and government. While land tax guarantees ownership and has a small government, new nationalism does not guarantee ownership and has a large government. To compare Hoover's individualism and new nationalism is that nationalism supported limited government entry into business, valuing decentralization, individualism, and traditional self-reliance. While nationalism supported a strong bureaucracy and regulating business, rights must be subordinated to welfare.

To sum it all up, the four perspectives of social inequality from the Second Industrial Revolution, when technology and wealth were created, also created problems of social inequality. First, social Darwinism held that people who were wealthy and powerful were fit and naturally superior, whereas poor people or marginalized groups were not. Advocating for no governmental

involvement in the economy. Second, Henry George's land tax believed that social inequality stems from an unfair ownership of land, and sharing of this land was necessary. Third, Herbert Hoover’s individualism valued limited government regulation; unregulated corporations would bring more well-being, and bureaucracy was slow and evil. Lastly, Theodore Roosevelt’s new nationalism called for a strong government to regulate cooperation in the name of warfare. In the end, these perspectives contrasted on fundamental principles like whether inequality is right, how much government involvement, and welfare.

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